Morgan Stanley | RESEARCH

UPDATE

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Arista Networks | North America

Mindful of Supply, but Encouraged by Ongoing Demand / Differentiation

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ANET's FQ1/outlook was short of expectations, despite 54% billings Y/Y, an acceleration from Q4, as supply chain dampens ability to meet demand. We walked away encouraged by billings acceleration and neo-cloud win, though stock to see some digestion in NT from universal supply constraints.

Key Takeaways

- Top-line beat in the March quarter and acceleration in billings growth were highlights in the quarter (to 54% Y/Y in Q1 from 43% Y/Y in Q4).
- Neo-cloud customer win is encouraging, particularly as the win was anchored on displacing white-box architecture.
- GM of 62.4% came in below MSe / consensus of 62.5% / 62.6%, largely due to upward price pressure in a supply constrained environment.
- Pullback in shares as 2026 guidance uptick to 27.7% Y/Y from 25% growth was short of expectations (28-30%), with revenue gated by supply.
- Wafers appear to be the most incremental supply constraint, with TSMC accounting for majority of bottleneck and AVGO likely a more limited headwind.

ANET's AI moat is broadening, with supply now the bigger swing factor. We continue to see ANET as one of the cleanest ways to own the AI networking cycle, with the quarter reinforcing that the debate is less about demand and more about how much supply the company can secure. The neocloud win displacing a white-box architecture is particularly important, as it supports our view that Arista's value proposition is not just hardware throughput, but reliability, EOS, automation, and better token economics in environments where downtime or congestion is highly costly. We also see the broadening of AI demand from scale-out into scale-across, and eventually scale-up, as an underappreciated driver of durability beyond the current training buildout. The offset is that supply constraints have moved from a manageable memory issue to a broader wafer, silicon, CPU, optics, and memory bottleneck, which could create shipment timing noise and pressure gross margins. Supply air pocket likely to weigh on gross margins near term, but longer-term fundamental story remains intact. ***We see supply chain challenges as universal, but see ANET as having proven in the past more able to handle these challenges than competitors continually to leave us OW the name.***

Things we liked:

- **Continuing to broaden customer base.** While MSFT / META have long been

Arista Networks (ANET.N, ANET UN)

Telecom & Networking Equipment | United States of America

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	**$180.00**
Shr price, close (May 5, 2026)	$170.22
Mkt cap, curr (mm)	$215,959
52-Week Range	$179.79-82.81

Fiscal Year Ending	**12/25**	**12/26e**	**12/27e**	**12/28e**
ModelWare EPS ($)	2.60	3.11	3.52	4.08
EPS ($)**	2.94	3.56	4.06	4.71
Prior EPS ($)**	-	3.40	4.03	4.67
P/E	50.4	54.7	48.4	41.7
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.65	0.79	0.87	0.92	0.96
Q2	0.73	0.83	0.90	0.98	1.01
Q3	0.75	0.86	0.87	1.02	1.01
Q4	0.82	0.92	0.92	1.10	1.08

e = Morgan Stanley Research estimates

the focus, with ORCL / GOOGL growing customers, we were encouraged by management's discussion of a new neocloud AI networking win where the customer moved away from an incumbent white-box architecture that could not keep pace with the scale-out demands of AI. This rapid growth in the customer base shows growing opportunity for the company and dampens concerns over the last year around share.

- **AI opportunity is broadening across scale-out, scale-across, and eventually scale-up.** Arista noted that scale-across should contribute at least one-third of the FY26 AI target, while scale-up is expected to become a new opportunity in 2027 and beyond as ESUN and 1.6T platforms ramp. Management also highlighted 100+ cumulative 800G Ethernet deployment customers, growing traction with diverse accelerators including AMD and TPUs, and continued confidence in 1.6T production-scale deployments in 2027.
- **Gross margins resilient despite mix / memory overhang.** Arista's gross margins came in at 62.4%, about in-line with expectations. While this is a 100bps stepdown Q/Q, given the scale of memory cost increases and greater demand from the cloud titans, we were impressed with the performance. The company also kept the guidance range intact despite the growing overhang.

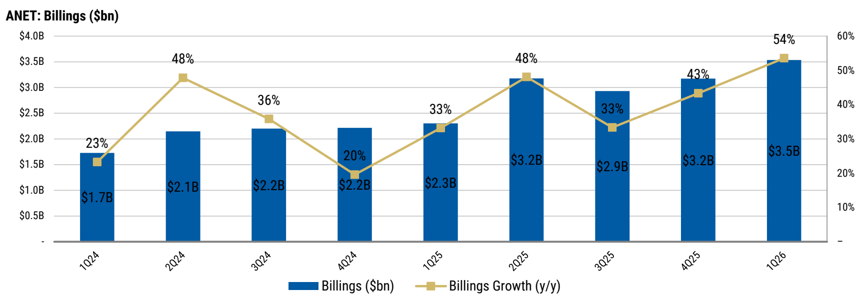
Things we are watching:

- **Supply shortages extending beyond memory.** Memory had been the primary bottleneck as of last quarter, but commentary indicated that shortages includes wafers, optics, and memory, with the issue likely lasting one to two years rather than one to two quarters. Arista has increased purchase commitments to $8.9bn from $6.8bn last quarter, but lead times remain significant, with management referencing 52-week lead times and reservation needs beyond that. The biggest gating items towards performance this year will be whether these products can be acquired, though we would note this is a challenge across the space.

- **New customer ramps gated by supply.** Company commentary was more clear on the call that the ability of the company to achieve two new 10% customers was gated not by demand, but by ability to deliver supply. Supply challenges are most acute at the high-end, likely putting more challenges on scale-across and back-end products.
- **Timing of deferred revenue recognition still an unknown, as balance continues to grow .** Total deferred revenue increased to $6.2bn from $5.4bn last quarter, with product deferred revenue up roughly $826mm sequentially. While this supports the improved growth outlook, management emphasized that customer acceptance clauses and qualification cycles have extended meaningfully, from roughly two to four quarters historically to six to eight quarters in some cases, which could create quarterly variability in reported revenue.

Remain OW, $180 PT. Our $180 base case represents ~44x MSe FY27 ~$4.06 EPS (and more like 38x MSe FY28). Our 44x multiple represents the higher end of the historical trading range and gives credit for Arista's positioning in the AI opportunity, and the idea that earnings power would increase, helping stock grow into the multiple (and given appreciation in other AI names like optical, trading on bullish 28 numbers). Our $88 bear case represents 25x a $3.5 EPS. The multiple 25x is on the lower end of the trading range over the last 5 years. Our $240 bull case represents 40x a $6 EPS. This multiple is on the high end of the trading range over the past 5 years and represents a case in which back-end share can be similar to front-end (representing years of 20%+ growth potential). Risks to our PT include changes in tariffs, macro weakness, pullback in cloud capex spend, and share loss.

Exhibit 1: Encouraged by Pickup in Billings Growth



Source: Company filings.

Financials

Exhibit 2: ANET: Income Statement

	Mar-25 Q1-25A	Jun-25 Q2-25A	Sep-25 Q3-25A	Dec-25 Q4-25A	Mar-26 Q1-26A	Jun-26 Q2-26E	Sep-26 Q3-26E	Dec-26 Q4-26E	Mar-27 Q1-27E	Jun-27 Q2-27E	Sep-27 Q3-27E	Dec-27 Q4-27E	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Total Net Sales	2,004.8	2,204.8	2,308.3	2,487.8	2,709.0	2,866.7	2,864.0	3,048.7	3,246.1	3,437.7	3,435.1	3,682.6	7,003.1	9,005.7	11,488.4	13,801.5	15,906.7
% Chg y/y	27.6%	30.4%	27.5%	28.9%	35.1%	30.0%	24.1%	22.5%	19.8%	19.9%	19.9%	20.8%	19.5%	28.6%	27.6%	20.1%	15.3%
% Chg q/q	3.9%	10.0%	4.7%	7.8%	8.9%	5.8%	-0.1%	6.4%	6.5%	5.9%	-0.1%	7.2%					
Total Gross Profit	1,284.8	1,447.0	1,505.2	1,578.4	1,690.8	1,786.0	1,784.3	1,896.3	2,035.8	2,152.0	2,146.9	2,297.9	4,523.9	5,815.4	7,157.3	8,632.6	9,981.2
Total Gross Margin	64.1%	65.6%	65.2%	63.4%	62.4%	62.3%	62.3%	62.2%	62.7%	62.6%	62.5%	62.4%	64.6%	64.6%	62.3%	62.5%	62.7%
Research & Development	209.4	243.3	251.4	272.5	271.5	286.7	315.0	335.4	363.6	385.0	384.7	412.4	784.9	976.6	1,208.6	1,545.8	1,749.7
Sales & Marketing	94.3	105.3	109.5	98.3	103.5	114.7	114.6	121.9	168.8	178.8	178.6	191.5	338.5	407.4	454.7	717.7	827.1
G&A	23.7	22.0	22.4	26.3	21.8	31.5	31.5	36.6	42.2	41.3	41.2	40.5	73.7	94.4	121.4	165.2	174.4
Total Op Expenses	327.4	370.6	383.3	397.1	396.8	432.9	461.1	493.9	574.6	605.0	604.6	644.5	1,197.1	1,478.4	1,784.7	2,428.6	2,751.3
Operating Income	957.4	1,076.4	1,121.9	1,181.3	1,294.0	1,353.1	1,323.2	1,402.4	1,461.2	1,547.0	1,542.3	1,653.5	3,326.7	4,337.0	5,372.6	6,204.0	7,229.9
Operating Margin	47.8%	48.8%	48.6%	47.5%	47.8%	47.2%	46.2%	46.0%	45.0%	45.0%	44.9%	44.9%	47.5%	48.2%	46.8%	45.0%	45.5%
Depreciation	13.8	12.8	23.2	22.8	23.3	46.9	43.5	40.7	38.8	37.6	37.0	36.5	62.0	72.6	154.5	149.9	148.2
EBITDA	971.2	1,089.2	1,145.1	1,204.1	1,317.3	1,400.0	1,366.7	1,443.1	1,500.0	1,584.6	1,579.4	1,690.0	3,388.8	4,409.6	5,527.1	6,353.9	7,378.1
EBITDA Margin	48.4%	49.4%	49.6%	48.4%	48.6%	48.8%	47.7%	47.3%	46.2%	46.1%	46.0%	45.9%	48.4%	49.0%	48.1%	46.0%	46.4%
Interest expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other income (expense)	90.7	88.6	98.9	90.0	110.8	99.3	89.0	98.3	101.4	103.4	109.9	119.8	308.0	368.2	397.4	434.5	509.3
Total Other Expense (Net)	90.7	88.6	98.9	90.0	110.8	99.3	89.0	98.3	101.4	103.4	109.9	119.8	308.0	368.2	397.4	434.5	509.3
Income Before Taxes	1,048.1	1,165.0	1,220.8	1,271.3	1,404.8	1,452.4	1,412.2	1,500.7	1,562.6	1,650.4	1,652.2	1,773.3	3,634.8	4,705.2	5,770.1	6,638.5	7,739.1
Effective Tax Rate	21.2%	20.7%	21.2%	17.7%	21.1%	21.5%	21.5%	21.5%	21.5%	21.5%	21.5%	21.5%	20.0%	20.1%	21.4%	21.5%	21.5%
Income Tax Provision	221.9	241.5	258.5	224.7	296.6	312.3	303.6	322.6	336.0	354.8	355.2	381.3	725.2	946.6	1,235.1	1,427.3	1,663.9
Pro Forma Net Income	826.2	923.5	962.3	1,046.6	1,108.2	1,140.2	1,108.6	1,178.0	1,226.6	1,295.6	1,297.0	1,392.0	2,909.5	3,758.6	4,534.9	5,211.2	6,075.2
Average Basic Shares Outstanding	1,255.3	1,247.3	1,252.7	1,257.1	1,247.3	1,249.3	1,251.3	1,253.3	1,255.3	1,257.3	1,259.3	1,261.3	1,255.6	1,253.1	1,250.3	1,258.3	1,266.3
Fully Diluted Shares Outstanding	1,279.2	1,271.2	1,276.6	1,281.0	1,271.2	1,273.2	1,275.2	1,277.2	1,279.2	1,281.2	1,283.2	1,285.2	1,281.2	1,277.0	1,274.2	1,282.2	1,290.2
Change	1.0	(7.0)	3.0	2.0	(7.0)	2.0	2.0	2.0	2.0	2.0	2.0	2.0	12.7	(4.2)	(2.8)	8.0	8.0
Pro Forma EPS	$0.65	$0.73	$0.75	$0.82	$0.87	$0.90	$0.87	$0.92	$0.96	$1.01	$1.01	$1.08	$2.27	$2.94	$3.56	$4.06	$4.71
Adjustments for EPS calculation:																	
Net income applicable to common st	813.8	888.8	834.5	913.5	1,020.1	994.0	962.5	1,022.6	1,061.1	1,120.2	1,121.8	1,204.2	2,852.1	3,450.6	3,999.1	4,507.3	5,264.0
Per Share Impact of PF Items	($0.01)	($0.03)	($0.10)	($0.10)	($0.07)	($0.11)	($0.11)	($0.12)	($0.13)	($0.14)	($0.14)	($0.15)	($0.04)	($0.24)	($0.42)	($0.55)	($0.63)
Reported EPS - GAAP	$0.64	$0.70	$0.65	$0.71	$0.80	$0.78	$0.75	$0.80	$0.83	$0.87	$0.87	$0.94	$2.23	$2.70	$3.14	$3.52	$4.08

Source: Company data, Morgan Stanley Research

Exhibit 3: ANET: Revenue Breakdown

	Mar-25 Q1-25A	Jun-25 Q2-25A	Sep-25 Q3-25A	Dec-25 Q4-25A	Mar-26 Q1-26A	Jun-26 Q2-26E	Sep-26 Q3-26E	Dec-26 Q4-26E	Mar-27 Q1-27E	Jun-27 Q2-27E	Sep-27 Q3-27E	Dec-27 Q4-27E	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue by Type																	
Product	1,692.5	1,877.0	1,911.7	2,095.7	2,311.3	2,440.5	2,371.9	2,568.2	2,769.5	2,926.6	2,844.9	3,102.2					
Services	312.3	327.8	396.6	392.1	397.7	426.2	492.1	480.5	476.5	511.1	590.2	580.4					
Total Revenue	2,004.8	2,204.8	2,308.3	2,487.8	2,709.0	2,866.7	2,864.0	3,048.7	3,246.1	3,437.7	3,435.1	3,682.6	7,003.1	9,005.7	11,488.4	13,801.5	15,906.7
Y/Y Growth																	
Product	27.4%	31.9%	25.5%	30.3%	36.6%	30.0%	24.1%	22.5%	19.8%	19.9%	19.9%	20.8%					
Services	28.8%	22.7%	38.1%	21.6%	27.3%	30.0%	24.1%	22.5%	19.8%	19.9%	19.9%	20.8%					
Total Revenue	27.6%	30.4%	27.5%	28.9%	35.1%	30.0%	24.1%	22.5%	19.8%	19.9%	19.9%	20.8%	19.5%	28.6%	27.6%	20.1%	15.3%
Q/Q Growth																	
Product	5.2%	10.9%	1.8%	9.6%	10.3%	5.6%	-2.8%	8.3%	7.8%	5.7%	-2.8%	9.0%					
Services	-3.1%	5.0%	21.0%	-1.1%	1.4%	7.2%	15.5%	-2.4%	-0.8%	7.3%	15.5%	-1.7%					
Total Revenue	3.9%	10.0%	4.7%	7.8%	8.9%	5.8%	-0.1%	6.4%	6.5%	5.9%	-0.1%	7.2%					
Revenue Mix																	
Product	84%	85%	83%	84%	85%	85%	83%	84%	85%	85%	83%	84%					
Services	16%	15%	17%	16%	15%	15%	17%	16%	15%	15%	17%	16%					
Total Revenue																	
Vertical Revenue																	
Cloud Titan	994.7	1052.8	1067.0	1191.1	1381.0	1421.3	1440.4	1572.2	1726.3	1776.6	1800.6	1965.3	3328.5	4305.6	5815.0	7268.7	8577.1
Enterprise	383.7	411.2	458.0	480.6	518.0	493.5	512.9	538.3	585.4	557.6	579.6	629.8	1520.9	1733.6	2062.8	2352.5	2683.5
Financials	238.9	301.5	294.4	301.7	298.7	346.7	323.8	331.9	322.6	374.4	349.7	358.4	899.9	1136.5	1301.0	1405.1	1517.5
Tier 2 / Specialty Cloud	268.3	320.1	366.5	389.6	387.7	480.2	458.1	475.4	484.6	600.2	572.7	594.2	790.6	1344.6	1801.4	2251.7	2589.5
Service Provider	119.0	119.1	122.5	124.6	123.5	125.1	128.7	130.9	127.3	128.9	132.5	134.8	463.4	485.3	508.2	523.4	539.1
Total	2004.6	2204.8	2308.4	2487.7	2709.0	2866.7	2864.0	3048.7	3246.1	3437.7	3435.1	3682.6	7,003.2	9,005.5	11,488.3	13,801.5	15,906.7
Y/Y																	
Cloud Titan	25%	30%	30%	32%	39%	35%	35%	32%	25%	25%	25%	25%	31%	29%	35%	25%	18%
Enterprise	35%	20%	5%	5%	35%	20%	12%	12%	13%	13%	13%	17%	19%	14%	19%	14%	14%
Financials	25%	36%	25%	20%	25%	15%	10%	10%	8%	8%	8%	8%	12%	26%	14%	8%	8%
Tier 2 / Specialty Cloud	45%	61%	81%	92%	45%	50%	25%	22%	25%	25%	25%	25%	0%	70%	34%	25%	15%
Service Provider	4%	5%	5%	5%	4%	5%	5%	5%	3%	3%	3%	3%	3%	5%	5%	3%	3%
Total	28%	30%	27%	29%	35%	30%	24%	23%	20%	20%	20%	21%	20%	29%	28%	20%	15%

Source: Company data, Morgan Stanley Research

Exhibit 4: ANET: Balance Sheet

	Mar-25 Q1-25A	Jun-25 Q2-25A	Sep-25 Q3-25A	Dec-25 Q4-25A	Mar-26 Q1-26A	Jun-26 Q2-26E	Sep-26 Q3-26E	Dec-26 Q4-26E	Mar-27 Q1-27E	Jun-27 Q2-27E	Sep-27 Q3-27E	Dec-27 Q4-27E	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
ASSETS																	
Cash and cash equivalents	1,845.1	2,225.5	2,326.6	1,963.9	2,789.5	3,304.7	4,540.8	6,180.0	6,480.3	7,420.0	8,858.6	10,770.7	2,762.4	1,963.9	6,180.0	10,770.7	15,227.2
Marketable securities	6,304.5	6,618.9	7,779.6	8,779.1	9,563.7	9,563.7	9,563.7	9,563.7	9,563.7	9,563.7	9,563.7	9,563.7	5,541.1	8,779.1	9,563.7	9,563.7	9,563.7
Accounts receivable, net	1,435.9	1,623.6	1,489.4	1,886.9	1,923.8	1,720.0	1,463.8	1,388.8	1,550.9	1,757.1	1,450.4	1,350.3	1,140.5	1,886.9	1,388.8	1,350.3	1,184.8
Inventories	1,957.3	2,059.1	2,155.7	2,247.1	2,380.0	2,936.6	2,898.2	2,847.6	3,025.8	3,493.5	3,457.7	3,421.4	1,834.6	2,247.1	2,847.6	3,421.4	3,941.7
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Notes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Pre-paid expenses and other current assets	733.5	976.4	1,433.5	1,510.0	1,899.7	2,010.3	2,008.4	2,137.9	2,276.3	2,410.7	2,408.9	2,582.4	632.3	1,510.0	2,137.9	2,582.4	2,991.0
Total current assets	12,276.3	13,503.5	15,184.8	16,387.0	18,556.7	19,535.4	20,474.9	22,118.0	22,897.1	24,645.0	25,739.2	27,688.6	11,910.8	16,387.0	22,118.0	27,688.6	32,908.4
Notes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Property and equipment, net	123.9	152.3	172.6	203.1	250.3	232.0	217.2	206.9	200.6	197.4	194.7	195.0	98.8	203.1	206.9	195.0	205.9
Intangible assets, net	324.9	-	-	-	-	-	-	-	-	-	-	-	330.5	-	-	-	-
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred tax assets	1,544.3	1,802.5	1,665.4	1,773.6	1,887.2	1,937.2	1,987.2	2,037.2	2,087.2	2,137.2	2,187.2	2,237.2	1,440.4	1,773.6	2,037.2	2,237.2	2,437.2
Deposits and other assets	245.2	1,075.9	1,026.0	1,084.9	962.3	962.3	962.3	962.3	962.3	962.3	962.3	962.3	263.3	1,084.9	962.3	962.3	962.3
Total Assets	**14,514.6**	**16,534.2**	**18,048.8**	**19,448.6**	**21,656.5**	**22,666.9**	**23,641.6**	**25,324.4**	**26,147.2**	**27,941.9**	**29,083.5**	**31,083.1**	**14,043.9**	**19,448.6**	**25,324.4**	**31,083.1**	**36,513.8**
LIABILITIES & STOCKHOLDER'S EQUITY																	
Accounts payable	389.1	543.9	481.0	651.7	608.4	775.7	646.7	825.8	723.2	922.8	771.5	992.3	381.1	651.7	825.8	992.3	1,143.2
Accrued liabilities	263.1	380.7	471.0	475.4	441.5	467.2	466.8	496.9	529.0	560.3	559.8	600.2	435.3	475.4	496.9	600.2	695.1
Deferred revenue	2,072.7	2,787.6	3,520.7	4,002.6	4,909.5	4,586.7	4,582.4	4,877.9	4,544.5	4,812.8	4,809.1	5,155.6	1,727.3	4,002.6	4,877.9	5,155.6	4,265.3
Convertible notes payable, related party	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued interest payable, related party	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Convertible notes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued interest payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	396.7	339.2	193.9	246.8	600.7	600.7	600.7	600.7	600.7	600.7	600.7	600.7	188.6	246.8	600.7	600.7	600.7
Total current liabilities	3,121.6	4,051.4	4,666.6	5,376.5	6,560.1	6,430.3	6,296.5	6,801.3	6,397.5	6,896.5	6,741.1	7,348.8	2,732.2	5,376.5	6,801.3	7,348.8	6,704.3
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Lease financing obligations, non-current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities	1,273.9	1,581.2	1,475.1	1,701.6	1,609.3	1,609.3	1,609.3	1,609.3	1,609.3	1,609.3	1,609.3	1,609.3	1,316.9	1,701.6	1,609.3	1,609.3	1,609.3
Total Liabilities	**4,395.5**	**5,632.6**	**6,141.7**	**7,078.1**	**8,169.4**	**8,039.6**	**7,905.8**	**8,410.6**	**8,006.8**	**8,505.8**	**8,350.4**	**8,958.1**	**4,049.1**	**7,078.1**	**8,410.6**	**8,958.1**	**8,313.6**
Convertible preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common Stock	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Additional paid-in capital	2,551.7	2,635.6	2,784.1	2,911.8	3,036.4	3,182.6	3,328.7	3,484.1	3,649.7	3,825.0	4,000.2	4,188.0	2,465.4	2,911.8	3,484.1	4,188.0	4,999.3
Accumulated other comprehensive income	(1.9)	3.8	7.8	12.0	(19.3)	(19.3)	(19.3)	(19.3)	(19.3)	(19.3)	(19.3)	(19.3)	(13.2)	12.0	(19.3)	(19.3)	(19.3)
Retained earnings	7,569.2	8,262.1	9,115.1	9,446.6	10,469.9	11,463.9	12,426.3	13,448.9	14,510.0	15,630.2	16,752.0	17,956.2	7,542.5	9,446.6	13,448.9	17,956.2	23,220.2
Total Shareholders' Equity	**10,119.1**	**10,901.6**	**11,907.1**	**12,370.5**	**13,487.1**	**14,627.3**	**15,735.8**	**16,913.8**	**18,140.5**	**19,436.0**	**20,733.0**	**22,125.0**	**9,994.8**	**12,370.5**	**16,913.8**	**22,125.0**	**28,200.3**
Total Liabilities and Shareholders' Equity	**14,514.6**	**16,534.2**	**18,048.8**	**19,448.6**	**21,656.5**	**22,666.9**	**23,641.6**	**25,324.4**	**26,147.2**	**27,941.9**	**29,083.5**	**31,083.1**	**14,043.9**	**19,448.6**	**25,324.4**	**31,083.1**	**36,513.8**

Source: Company data, Morgan Stanley Research

Exhibit 5: ANET: Cash Flow Statement

	Mar-25 Q1-25A	Jun-25 Q2-25A	Sep-25 Q3-25A	Dec-25 Q4-25A	Mar-26 Q1-26A	Jun-26 Q2-26E	Sep-26 Q3-26E	Dec-26 Q4-26E	Mar-27 Q1-27E	Jun-27 Q2-27E	Sep-27 Q3-27E	Dec-27 Q4-27E	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
GAAP Cash Flow Statement																	
OPERATING ACTIVITIES:																	
Net Income (loss)	813.8	888.8	853.0	955.8	1,022.9	994.0	962.5	1,022.6	1,061.1	1,120.2	1,121.8	1,204.2	2,852.1	3,511.4	4,001.9	4,507.3	5,264.0
Adjustments:																	
Depreciation	13.8	12.8	23.2	22.8	23.3	46.9	43.5	40.7	38.8	37.6	37.0	36.5	62.0	72.6	154.5	149.9	148.2
Amortization	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stock-based compensation	93.0	85.2	127.9	133.1	120.9	146.2	146.1	155.5	165.6	175.3	175.2	187.8	355.4	439.2	568.6	703.9	811.2
Deferred income taxes	(107.1)	(230.8)	135.4	(109.5)	(104.9)	(50.0)	(50.0)	(50.0)	(50.0)	(50.0)	(50.0)	(50.0)	(492.9)	(312.0)	(254.9)	(200.0)	(200.0)
Provision for bad debts	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization of debt discount	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Excess tax benefit on stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	(12.1)	(8.9)	(2.5)	(3.6)	(3.4)								(53.5)	(27.1)	(3.4)	-	-
Changes in operating assets and liabilities:																	
Accounts receivable	(295.4)	(187.7)	134.2	(397.5)	(36.9)	203.8	256.2	75.0	(162.1)	(206.1)	306.7	100.1	(106.1)	(746.4)	498.1	38.6	165.5
Inventory	(122.7)	(101.8)	(96.6)	(91.4)	(133.0)	(556.6)	38.4	50.7	(178.3)	(467.7)	35.8	36.3	110.6	(412.5)	(600.6)	(573.9)	(520.3)
Prepaid expenses and other current assets		-	-	-		(110.6)	1.9	(129.5)	(138.4)	(134.4)	1.9	(173.6)	-	-	(238.2)	(444.5)	(408.6)
Deposits and other assets	(113.7)	(289.5)	(280.5)	(253.7)	(298.7)	-	-	-	-	-	-	-	(234.2)	(937.4)	(298.7)	-	-
Accounts payable	6.7	153.3	(61.9)	162.4	(35.6)	167.3	(129.0)	179.2	(102.6)	199.6	(151.3)	220.8	(51.6)	260.5	181.8	166.4	150.9
Accrued liabilities	-	-	-	-	-	25.7	(0.4)	30.1	32.2	31.2	(0.4)	40.3	47.8	-	55.4	103.3	95.0
Deferred revenue	297.4	844.0	624.3	686.3	826.2	(322.8)	(4.4)	295.5	(333.4)	268.3	(3.7)	346.5	1,285.2	2,452.0	794.6	277.7	(890.4)
Interest payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest payable - related party	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	241.3	(88.9)	(257.6)	57.4	352.9	-	-	-	-	-	-	-	(66.5)	(47.8)	352.9	-	-
Other liabilities	(173.3)	123.6	69.3	99.8	(40.2)	-	-	-	-	-	-	-	-	119.4	(40.2)	-	-
Net cash from Operating Activities	**641.7**	**1,200.1**	**1,268.2**	**1,261.9**	**1,693.5**	**543.9**	**1,264.8**	**1,669.6**	**332.8**	**974.1**	**1,473.0**	**1,948.9**	**3,708.2**	**4,371.9**	**5,171.8**	**4,728.7**	**4,615.5**
INVESTING ACTIVITIES:																	
Purchases of property and equipment	(28.4)	(24.0)	(30.1)	(37.0)	(54.5)	(28.7)	(28.6)	(30.5)	(32.5)	(34.4)	(34.4)	(36.8)	(32.0)	(119.5)	(142.3)	(138.0)	(159.1)
Purchases of marketable securities and notes receivab	(746.3)	(292.3)	(1,146.0)	(987.0)	(1,192.7)	-	-	-	-	-	-	-	(2,422.7)	(3,171.6)	(1,192.7)	-	-
Proceeds from repayment of notes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Change in restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other investing activities	8.8	(308.8)	(10.0)	24.9	381.9	-	-	-	-	-	-	-	(2.6)	(285.1)	381.9	-	-
Net cash from Investing Activities	**(765.9)**	**(625.1)**	**(1,186.1)**	**(999.1)**	**(865.3)**	**(28.7)**	**(28.6)**	**(30.5)**	**(32.5)**	**(34.4)**	**(34.4)**	**(36.8)**	**(2,457.4)**	**(3,576.2)**	**(953.1)**	**(138.0)**	**(159.1)**
FINANCING ACTIVITIES:																	
Proceeds from issuance of convertible notes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of convertible notes payable –	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of common stock in conjunctio	-	-	-	(1,603.1)	-	-	-	-	-	-	-	-	(234.7)	(1,603.1)	-	-	-
Repayments of notes payable - related party	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Principal payments - lease financing obligations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Payments - deferred offering costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Repayments of notes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of common stock upon exercis	(759.0)	(192.7)	25.6	983.8	29.9	-	-	-	-	-	-	-	(128.8)	57.7	29.9	-	-
Excess tax benefit on stock-based comp	(34.8)	(4.5)	(5.0)	(6.2)	(29.9)	-	-	-	-	-	-	-	(58.4)	(50.5)	(29.9)	-	-
Net cash provided by financing activities	**(793.8)**	**(197.2)**	**20.6**	**(625.5)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(421.8)**	**(1,595.9)**	**-**	**-**	**-**
Effect of exchange rate changes on cash and cash equiva	0.7	2.6	(1.6)	-	(2.6)	-	-	-	-	-	-	-	(5.3)	1.7	(2.6)	-	-
Net change in cash	(917.3)	380.4	101.1	(362.7)	825.6	515.2	1,236.1	1,639.2	300.3	939.7	1,438.6	1,912.1	823.8	(798.5)	4,216.1	4,590.7	4,456.5
Cash and cash equivalents at beg. of period	2,762.4	1,845.1	2,225.5	2,326.6	1,963.9	2,789.5	3,304.7	4,540.8	6,180.0	6,480.3	7,420.0	8,858.6	1,938.6	2,762.4	1,963.9	6,180.0	10,770.7
Cash and cash equivalents at end of period	1,845.1	2,225.5	2,326.6	1,963.9	2,789.5	3,304.7	4,540.8	6,180.0	6,480.3	7,420.0	8,858.6	10,770.7	2,762.4	1,963.9	6,180.0	10,770.7	15,227.2

Source: Company data, Morgan Stanley Research

Risk Reward – Arista Networks (ANET.N)

Cloud Capex Proving More Durable, with AI Opportunity on the Horizon

PRICE TARGET $180.00

Our $180 PT is based on 45x 27e PE (or ~35x 28e P/E) is a premium to networking peers given growth / hyperscale cycle / AI opportunity, but more in-line with optical / AI peers.

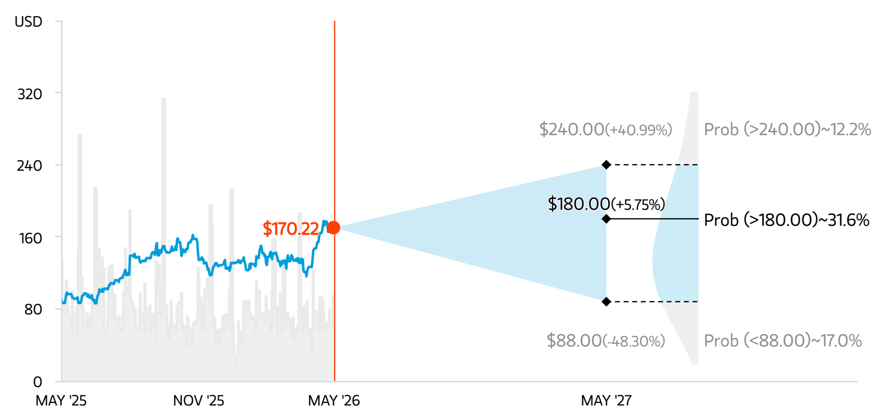
Consensus Price Target Distribution

$140.00 — $176.93 — MS PT — $200.00

Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 5 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- With upgrade cycles coming to an end, AI investment becomes the driver of cloud investment
- Enterprise / campus market share gains continue as business is now scaled and provides a more durable growth engine through hyperscale cycle drivers. Initial share gains were possible without significant investment in channel, but greater scale could lead to more reliance to maintain growth, with cost. However, macro/tariffs pressure spend environment.
- Data center exposure is relatively more attractive within enterprise budget scenarios, affording premium to networking peers outside of cloud upgrade cycle drivers.
- Opportunity at Google has potential as a catalyst but remains further out.

Consensus Rating Distribution

93%	Overweight
7%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $240.00

~40x bull case 28e EPS (~$6)

Meaningful share gains in AI. Cloud investments remain elevated through '28 given AI. Net incremental wins for AI supports expectation of continued higher growth for longer. Enterprise/Service Provider business meaningfully benefits channel expansion. Operating margins >45% result in FY28 EPS of ~$6. 40x is above the 75th percentile of the trading range over the past 5 years, but would represent optimism that upper 20% growth could continue at leading margins.

BASE CASE $180.00

~44x Street FY27 expectations / ~38x FY28 expects

AI drives revenue growth. Growth continues through '26 with strong spend from Cloud Titan customers, Enterprise share gains and a strong Tier 2 / Specialty Cloud growth. Multiple accounts for AI enthusiasm. Minimal tariff/component impacts. Our base case ~$4 FY27 EPS / $5 FY28 EPS.

BEAR CASE $88.00

25x FY27e bear case EPS (~$3.5)

AI takes longer to materialize; tariff impact. Cloud customers face continued bottlenecks that slow timing of trials moving to production and share losses. Flattening hyperscale investment levels, results in period of slower growth and pressures multiple. More meaningful tariff and component issue impacts. ANET trades towards the lower end of the range that the name has traditionally traded at.

Risk Reward – Arista Networks (ANET.N)

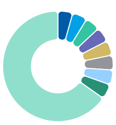
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (%)	28.6	27.6	20.1	15.3
Gross Margin (%)	64.6	62.3	62.5	62.7
Operating Margin (%)	48.2	46.8	45.0	45.5
EPS Growth (%)	29.6	20.9	14.2	15.9
FCF Growth (%)	22.1	21.4	(8.6)	(2.8)

INVESTMENT DRIVERS

- Is Arista demand macro sensitive?
- Will cloud builders move towards white box solutions, and away from branded vendors?
- Can Arista expand beyond the data center switching?

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% MEA
- 0-10% Mainland China
- 0-10% UK
- 70-80% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Incremental wins for AI supports expectation of continued higher growth for longer
- Cloud investments remain elevated
- Scale up incremental opportunity
- Enterprise/campus share gains accelerate

RISKS TO DOWNSIDE

- Customer concentration, specifically Microsoft and META
- New campus products struggle to gain traction
- Macro conditions get materially worse, particularly given tariffs/component costs.
- Cloud capex weakens

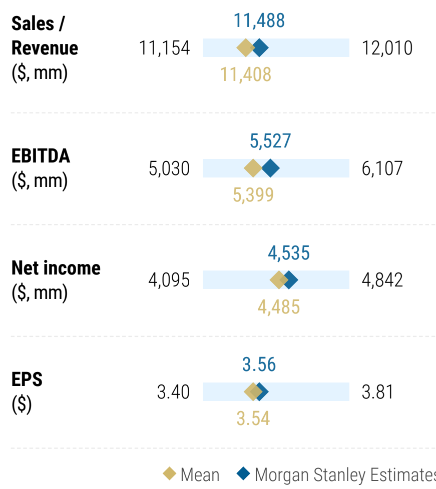
OWNERSHIP POSITIONING

Inst. Owners, % Active	57%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	25.2%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

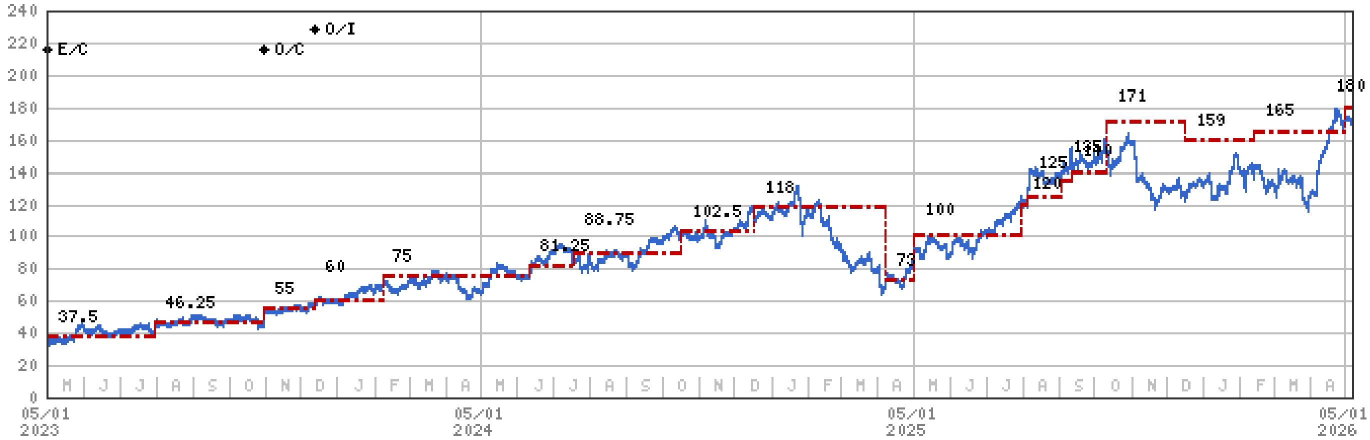
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Arista Networks (ANET.N) - As of 05/06/26 GMT in USD
Industry : Telecom & Networking Equipment



Stock Rating History: 5/1/21 : O/I; 11/19/21 : E/I; 4/12/22 : E/C; 10/31/23 : O/C; 12/13/23 : O/I

Price Target History: 2/18/21 : 21.56; 7/6/21 : 26.25; 11/1/21 : 28.75; 11/19/21 : 34.5; 2/14/22 : 36; 6/13/22 : 28.5; 8/1/22 : 31.25; 10/11/22 : 28.75; 11/4/22 : 32.5; 2/13/23 : 35; 4/14/23 : 37.5; 7/31/23 : 46.25; 10/31/23 : 55; 12/13/23 : 60; 2/8/24 : 75; 6/11/24 : 81.25; 7/18/24 : 88.75; 10/17/24 : 102.5; 12/17/24 : 118; 4/8/25 : 73; 5/1/25 : 100; 7/31/25 : 120; 8/5/25 : 125; 9/3/25 : 135; 9/12/25 : 140; 10/10/25 : 171; 12/17/25 : 159; 2/12/26 : 165; 5/1/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Telecom & Networking Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/05/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	$170.22
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	$380.60
Ciena Corporation (CIEN.N)	E (10/10/2025)	$544.75
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	$94.30
Coherent Corp (COHR.N)	E (12/13/2023)	$335.73
Corning Inc (GLW.N)	E (06/13/2024)	$162.10
F5 Inc (FFIV.O)	E (04/12/2022)	$339.90
Keysight Technologies Inc (KEYS.N)	E (10/10/2025)	$355.93
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	$994.56
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	$438.00
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	$228.39

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* Historical prices are not split adjusted.